

CYBERCRIME IN NEPAL

Real-World Experiences, Scams & Organized Fraud

CRITICAL REPORT

Focusing on Social Engineering, Advance Payment Fraud,
and Sextortion Trends (2023–2025)

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Confidentiality Note: All victim names in case studies have been anonymized to protect identities.

Executive Summary

This report provides an on-the-ground analysis of the cybercrime epidemic currently sweeping Nepal. Unlike theoretical academic papers, this document is derived from **direct field experience** helping victims with account recovery and IT support.

The data reveals a shift from random account hacking to **organized financial crime**. The most dangerous trends in 2025 are not technical "hacks" but sophisticated **social engineering** schemes: fake online stores requiring advance payment, "parcel from abroad" customs fraud, and aggressive sextortion rings.

Key Findings from Fieldwork:

- **Financial Loss:** Advance-payment scams are now the #1 cause of digital financial loss for youth.
- **Emotional Impact:** Sextortion cases have led to a spike in severe psychological distress and suicide attempts among teenagers.
- **Methodology:** Attackers exploit local contexts (Driving License, eSewa/Khalti usage) to gain trust.

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1 Introduction: The Digital Trap

In Nepal, internet access has grown exponentially. Platforms like Facebook, WhatsApp, TikTok, and Instagram are central to daily life. However, digital literacy has not kept pace. While users are proficient at *using* apps, they often lack the skepticism required to spot modern scams.

This report highlights that cybercrime in Nepal is no longer just about hacking passwords; it is an organized industry involving fake citizenship rackets, money laundering via digital wallets, and psychological manipulation.

2 Social Engineering: The Main Weapon

Social engineering is the art of manipulating people into giving up confidential information. In Nepal, this works better than technical hacking because attackers use powerful triggers like trust and urgency. Attackers target the human element, exploiting the tendency to trust friends and fear authority figures [17].

3 Real-Life Case Studies (2023–2025)

The following cases represent the most frequent types of incidents directly handled by our IT support teams in Kathmandu, Pokhara, and Chitwan.

CASE STUDY: Driving License OTP Scam

Victim: 19-year-old female student, Bhaktapur

Method: Friend Impersonation via Messenger

This tactic relies on the “Fake Account” phenomenon, which is currently the most exploited tactic we observe daily. The victim received a message from a classmate:

“Didi please yaar, I screwed up big time! I put your number instead of mine in the driving license form. My phone is completely dead right now, the OTP must have gone to you. Quick quick send me the code na, it’s super urgent, I’m in deep trouble!”

The Outcome: She forwarded the 6-digit code without reading the SMS text. Within 22 seconds, the hacker changed the email and phone number and enabled Two-Factor Authentication (2FA). This confirms our observation that OTP fraud is the primary vector for account takeovers.

CASE STUDY: Advance-Payment Goods Scam

Victim: Multiple (47 people in one day)

Loss: NPR 18,42,000 (approx)

Method: Fake Facebook/Instagram Store

This is currently the **#1 financial cybercrime** we encounter. A scammer posted an iPhone 15 Pro Max for sale on a Facebook group for NPR 1,35,000.

The Trap:

Sir, stock is finishing very fast, already 23 people booked today. To confirm your iPhone 17 Pro Max, send just Rs. 20,000 advance via eSewa right now. Full cash on delivery, we’ll reach your place in 2 hours max. Trust me bro, best deal in Nepal!

47 people paid amounts to various eSewa/Khalti numbers. The wallets were registered using fake citizenships, making recovery nearly impossible through standard banking channels.

CASE STUDY: "Parcel Stuck at Customs" Scam

Victim: Young male, Pokhara

Loss: NPR 1,03,500

Method: WhatsApp / Voice Call

After chatting with a "foreigner" on WhatsApp for two weeks, the victim was told a gift was on the way. He then received a call from a fake Customs Officer:

"Namaste sir, this is Customs Department, Tribhuvan International Airport calling. One parcel from London has arrived in your name — iPhone, laptop, and gift items. To release it you have to pay only Rs. 18,500 customs tax right now via eSewa. If not paid today, parcel will be returned or confiscated."

The victim paid via digital wallet, only to be asked for more money for "money laundering clearance." By the time he contacted us, the funds were already withdrawn.

CASE STUDY: The Block & Blackmail Sextortion

Victim: 17-year-old girl, Biratnagar

Trend: Increasing rapidly (around 400% year-on-year)

The victim was contacted on Instagram by a well-presented and confident individual who claimed to have a respectable professional background. After nearly 12 days of regular conversation, he gained her trust and persuaded her to join a video call. During the call, he secretly recorded private moments without her consent.

The Threat:

"Listen carefully. Send Rs. 1,50,000 to this Khalti number RIGHT NOW. If I don't get the money by tonight, I swear on my mother I will make this video viral on Facebook, TikTok, everywhere. Your family, friends, college — everyone will see it. You will hang yourself in shame. Last chance."

Out of fear and panic, the victim sent the demanded amount. Despite the payment, the attacker still shared the video and continued the harassment. This form of sextortion causes extreme emotional distress and long-lasting psychological harm. Based on our support records, we now encounter nearly 10 similar cases every week.

4 Why These Scams Succeed in Nepal

Based on our interactions with victims, these are the core reasons for the high success rate of scammers:

- **Local Context:** Scammers use familiar concepts (Driving License, Qatar Jobs) that make the lie believable.
- **Deep Trust:** Nepalis generally trust messages from friends, not realizing the account is hacked.
- **Wallet Anonymity:** While wallets require KYC, criminals use a "Fake Citizenship Industry" to create disposable accounts.
- **Shame:** In sextortion cases, victims are often too ashamed to report to the Cyber Bureau, giving scammers immunity.

5 Practical Safety Measures (2025 Edition)

GOLDEN RULES FOR DIGITAL SAFETY

1. THE "HANDS-ON" RULE:

Never pay an advance for any item you have not touched with your own hands.

2. THE "VOICE" VERIFICATION:

If a friend asks for OTP via Messenger, **Call their SIM number**. Do not reply in the chat.

3. CUSTOMS REALITY CHECK:

No legitimate Customs Officer will ever ask you to pay tax into a personal eSewa ID.

4. SEXTORTION PROTOCOL:

If threatened with video leaks: **DO NOT PAY**. Block, Lock Profile, and Report to the Cyber Bureau immediately.

5. REPORTING:

Use the official police portals to report crimes immediately.

6 Conclusion

The solution to Nepal's cybercrime crisis is not just software—it is skepticism. The scams described in this report rely on human error. By adopting a "Zero Trust" policy for money requests and understanding that OTPs are the keys to our digital lives, Nepali users can starve these criminal gangs of their profits.

References & Further Reading

The following sources provide background data supporting the general trends discussed in this report.

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